Setu (সেতু) — Technical Documentation, v1

FinTechathon 2026 International Track, Topic E

1. Overview

Setu is an AI copilot for Bangladeshi SMEs that import from Chinese suppliers. It does five things: it matches financing options, forecasts cash flow, analyses order cost, checks suppliers and trade documents, and pays suppliers through milestone escrow with risk-tiered human approval.

Scope statement. All transactions are simulated sandbox transactions. There are no payment rails, no real lenders and no real people. All data is fictional or mock. No machine-learning model was trained or fine-tuned. Pre-trained Claude models are called through an API to explain results in plain language and to fill missing document fields.

Core principle: the LLM explains, code executes. Every number (cost, margin, gap, FX rate, fraud score, tier) is produced by deterministic Python. The model may read tool outputs and write words. It cannot call any tool above Tier 0, so it cannot move money.

Terms used in this document:

- **Landed cost**: the full cost of getting goods to the buyer (goods + freight + insurance + duty + bank charges).
- **Escrow**: money held by a neutral account and released to the supplier in tranches (parts) when conditions are met.
- **KYB** (know your business): checks that a supplier and its bank account are who they claim to be.
- **B/L**: bill of lading, the shipping document. **PI**: proforma invoice.
- **Tier**: how much human approval an action needs (0 none, 3 strictest).
- **OTP**: one-time password.

Requirement IDs (FR-1.., SR-1.., NFR-..) refer to `docs/REQUIREMENTS.md`, the stand-in for the SRS.

2. Architecture

```
flowchart LR
  subgraph Browser["Browser"]
    WEB["Next.js app (apps/web)"]
    VER["/verify page"]
  end
  subgraph API["FastAPI service (services/agent)"]
    ROUTERS["Routers + role checks"]
    subgraph AGENT["LangGraph agent, Tier 0 tools only"]
      PG["Privacy Gateway"] --> RT["router"] --> AG["agent + tools"] --> RS["respond"]
    end
    subgraph CODE["Deterministic code"]
      DOM["domain: landed cost, financing,<br/>cash flow, FX route, escrow, KYB"]
      FOR["forensics + hash registry"]
      RISK["risk-tier engine"]
      APPR["approvals: Tier 2 tap,<br/>Tier 3 cooling-off + OTP"]
    end
    AUD["signed hash-chained audit log"]
  end
```

```
  DB[("PostgreSQL + pgvector")]
  LLM["Claude via app/llm/client.py"]
  WEB -->|"/api/*"| ROUTERS
  ROUTERS --> AGENT
  ROUTERS --> CODE
  PG --> LLM
  AG -->|"propose only"| RISK
  FOR --> RISK
  DOM --> RISK
  RISK --> APPR
  CODE --> DB
  AGENT --> AUD
  CODE --> AUD
  AUD --> DB
  VER -.-> AUD
```

(The same diagram with more detail is in `docs/architecture.mmd`. No rendered image was produced; the Mermaid source is the only form.)

Components

Component	Technology	Responsibility
Web	Next.js 16 (App Router), TypeScript, Tailwind v4, Recharts	UI in English, Bangla, Chinese (supplier view). Talks only to the API (`/api/*`). Never touches the database.
API	FastAPI, Python 3.13	Routers, session and role checks, services, error format (RFC 7807 problem JSON).
Agent	LangGraph, LangChain, `langchain-anthropic`	Nodes: load context, privacy gateway, router, agent (tools), respond. Postgres checkpointer.
Domain	Pure Python, `Decimal`	Money logic with no LLM and no I/O.
Database	PostgreSQL 16 + pgvector; SQLAlchemy 2 + Alembic	One schema owner. Alembic migrations are the only way the schema changes.
Models	`claude-haiku-5-5` (router, agent, answers), `claude-sonnet-5-5` (document tasks)	Called only through `services/agent/app/llm/client.py`. Anthropic direct, or OpenRouter, or an offline mock model if no key is set.
Tracing	LangSmith	Root run holds masked text. Tool runs are traced without raw inputs and outputs.

Model-call boundary. `app/llm/client.py` is the only module that imports `langchain_anthropic` (a test enforces it). Chat nodes call the Privacy Gateway before every model call. Document extraction (`structured_call`) also goes through the gateway. Masking is applied in the nodes and in `structured_call` rather than in one client wrapper (see Limitations).

Chat turn (LangGraph). `load_context` → `privacy_gateway` → `router` (fast model, JSON schema, keyword fallback) → `agent` ⇄ `tools` (allow-listed per intent, max 6 steps) → `respond`. The agent only gathers facts. The `respond` node writes the answer from tool results wrapped as untrusted data. Code then appends the simulated-data note, the injection warning, and a “Why:” line taken from the tool’s own explanation fields.

3. Data model summary

Single owner: SQLAlchemy models in `services/agent/app/db/models/` and Alembic migrations (14 revision files). Full table list: `docs/data-model.md`. Conventions: money is `NUMERIC(20,4)` with a separate currency code; FX rates `NUMERIC(20,8)`; enums are `VARCHAR` + CHECK; primary keys are UUIDs (seed rows use `uuid5`).

Group	Tables (examples)
Identity	`parties` (buyer, supplier, lender), `users` (one demo user per role, no passwords), `bank_accounts`
Deals and escrow	`deals`, `deal_costs`, `milestones`, `milestone_confirmations`, `escrow_accounts`, `ledger_entries`, `credit_records`
Finance	`cashflow_items`, `fx_rates`, `fx_locks`, `financing_options`, `financing_applications`, `alerts`, `supplier_scores`
Trust	`kyb_checks`, `kyb_runs`, `documents`, `forensic_findings`, `hash_registry`, `approval_requests`, `approval_events`, `risk_events`, `injection_events`, `privacy_records`, `audit_log`
Assistant	`chat_threads`, `chat_messages`, `kb_chunks` (vector(384) + full-text), `llm_cache`, LangGraph checkpoint tables
Demo	`demo_state`, `demo_sandboxes` (one Postgres schema per judge sandbox), `demo_phone_messages`

The `audit_log` table has a database trigger that rejects `UPDATE` and `DELETE`.

4. Core algorithms

All formulas are in `docs/finance-formulas.md`. The worked example is deal `SETU-2026-0001` (fictional buyer “Rahima”, seed date 2026-10-20).

4.1 Landed cost and margin (FR-3) — `app/domain/landed_cost.py`, `margin.py`

```
landed_cost   = goods_value + sum(extra cost lines)       # freight, insurance, duty, bank charges,
other
cost_per_unit = landed_cost / quantity
gross_margin  = (revenue - landed_cost) / revenue
price_for_margin(m) = break_even_price / (1 - m)
```

Example: goods USD 9,600.00 + extras 1,600.00 = **USD 11,200.00**; expected revenue 13,660.00; margin **18.01%**. Duty is one seeded line. A table of duty by HS code (customs tariff code) is not built (see Limitations).

4.2 Cash-flow forecast and alerts (FR-2) — `app/domain/cashflow.py`, `alerts.py`

```
closing(d)   = opening(d) + inflows(d) - outflows(d);   opening(d+1) = closing(d)
```

The window is 91 days (today to today + 90). Sources: cash-flow items, unfunded tranches, and deal costs. Alerts are idempotent (key per party, type, reference, date), auto-resolve when the condition clears and reopen if it returns. Shortfall alert: first day with closing balance below the

buffer; critical if 7 days or less away. Deadline alerts use a notice window and an action window per type (milestone 30/14 days, duty 60/7, bill of entry 60/7, loan instalment 7/7); critical at one day. FX alert: best day more than 1% below the 30-day mean. Demo result: shortfall **USD 1,560.00 on 2026-11-07** (balance 4,200.00 against a 5,760.00 milestone).

4.3 Financing matching (FR-1) — `app/domain/financing.py`

```
gap (shortfall mode) = min_buffer - closing on the first day below the buffer
gap (order mode)     = max(0, landed_cost - available cash)
total_cost = principal*annual_rate*days/365 + principal*fee_rate + fee_fixed + uplift + flat
EAR        = (1 + total_cost/principal)^(365/days) - 1       # capped at 999,900%
```

Eligibility is a JSON rule tree plus code rules (minimum and maximum amount, tenor fits, insured terms not offered once escrow is funded). Ranking: eligible first, then lowest total cost, then shorter tenor, then fewer conditions, then code. Options whose collateral invoice is already pledged elsewhere are blocked by the registry (section 4.8). Order mode for the demo deal (gap 5,200.00, 45 days): escrow-backed loan 97.70, supplier credit 104.00, bank import loan 173.45, NBFI line 239.34 (before the registry rule; with Lender A holding the invoice, the escrow-backed Lender B loan is blocked and supplier credit becomes the top pick, see `docs/registry.md`). Applications are simulated and re-check eligibility at execution.

4.4 FX route comparison (FR-7) — `app/domain/fx_route.py`

Compares the cost in BDT of paying via USD (bank USD spread, supplier-side USD→CNY spread, SWIFT and correspondent fees) against paying in CNY directly (CNY spread, flat fee). Mid rates come from the `fx_rates` table. **Spreads and fees are mock constants** labelled `MOCK:` in the output. Example: USD 5,760 → USD route BDT 718,223.24 vs CNY route 712,766.14, saving BDT 5,457.10 (0.76%). The mock rate lock (Tier 2) is `app/services/fx_lock.py::lock_fx`.

4.5 Supplier KYB (FR-4) — `app/domain/kyb.py`

Name normalisation (NFKC, case-fold, suffix canon, CJK map, look-alike folding), then `score = floor2((token_set_ratio + token_sort_ratio) / 2)` using rapidfuzz. Thresholds: 92 and above PASS, 80 to 92 WARN, below FAIL. Eight checks (licence vs invoice name, licence vs account holder, personal account, account age under 7 days FAIL or under 30 WARN, account country, pending beneficiary change, registry history, mock sanctions screen). Score = 100 − sum(weight × severity), FAIL = 1, WARN = 0.5. A sanctions hit forces score 0 and BLOCKED. Evaluated per bank account.

4.6 Milestone escrow (FR-5) — `app/domain/escrow.py`, `app/services/escrow.py`

Schedule `30/60/10` or custom percents (2 to 5 tranches summing to exactly 100); amounts use `split_by_ratios` with the last tranche absorbing the remainder (9,600.00 → 2,880.00 / 5,760.00 / 960.00). Deal states: DRAFT → PROPOSED → CONFIRMED → FUNDED → IN_PRODUCTION → SHIPPED → ARRIVED → COMPLETED (+ DISPUTED, CANCELLED). Escrow states: DRAFT, FUNDED, TRANCHE_RELEASED, COMPLETED, FROZEN, REFUNDED. The ledger is double-entry and each transaction balances; a database check enforces `funded = released + refunded + balance`.

Release check order (`release_tranche`): milestone READY and evidence VERIFIED → enough balance → beneficiary ACTIVE and KYB-clean → escrow not frozen and no open Tier 3 request → risk engine → one transaction with row locks (ledger, balance, milestone, next milestone, deal status, cash-flow, alerts, signed audit row). The same idempotency key replays the first result; a new key on a released milestone is refused.

On COMPLETED, a credit record is issued and signed with Ed25519 (`app/services/credit_record.py`, FR-8).

4.7 Document forensics (FR-6) — `app/forensics/`

1. **Safe upload**: magic-byte file type check, 10 MB cap, sanitised names, storage keyed by SHA-256, signed short-lived download URLs. PDF parsing runs in a resource-limited child process.
2. **Extraction**: a deterministic label parser reads the PDF text. A model fills only fields the parser could not find, with masked text inside an untrusted wrapper; such a field forces at least WARNING.
3. **Hidden-text detection**: white or near-white text, size 2 pt or less, off-page text, render mode 3, text covered by an opaque shape, dark-on-dark (warning only). Hidden text and metadata are reported, never used as content.
4. **Cross-checks** (11 names in the ground truth): quantity, value, vessel/date, name, duplicate invoice, price band, beneficiary, hidden text, instruction scan, port, HS code.
5. **Fraud score**: sum of weight × factor (FAIL 1, WARN 0.5), capped at 100. Ordinary checks weigh 35; beneficiary, hidden text, instruction scan and duplicate hash weigh 70 and force FAILED. Below 30 PASSED, 30 to 60 WARNING, above 60 FAILED.
6. **Evidence automation**: all required documents PASSED → milestone evidence VERIFIED; WARNING → FLAGGED (buyer review); FAILED → REJECTED plus a fraud alert.

4.8 Duplicate-financing registry (FR-6, SR-6) — `app/services/hash_registry.py`

Two fingerprints: exact (SHA-256 of file bytes) and semantic (SHA-256 of folded identity fields: seller, invoice number, total, currency; or shipper, B/L number, vessel for bills of lading). Verdicts over ACTIVE entries: `NEW`, `SAME_CONTEXT`, `EXACT_DUPLICATE`, `NEAR_DUPLICATE`. A conflict is an active entry in another deal or at another lender; conflicts win over a same-context entry (fail closed). A duplicate fails the document, raises a fraud alert and forces Tier 3. `POST /registry/lender-check` lets a lender ask whether a document is already pledged. The date is deliberately not part of the semantic key. An on-chain anchor is not built.

4.9 Risk-tier engine (SR-1) — `app/services/risk/engine.py`

A pure function `evaluate(ctx, policy)` returns a decision with reason codes (English and Bangla), a context hash, a rule trace and counterfactual hints. Thresholds are in `services/agent/config/risk.yaml`.

Result	Triggers (examples)
BLOCK	sanctions hit, KYB blocked, beneficiary blocked or retired, document FAILED (release)
Tier 3	amount above USD 20,000 (strict), advance above limit, beneficiary change or pending change, beneficiary changed under 30 days ago, fraud score above 60, duplicate hash, instruction from a document, KYB account warning
Tier 2	first deal with the supplier, document WARNING, FX rate not locked, not fully verified (fail closed), lock FX, confirm or propose milestones, agent origin
Tier 1	none fired: executes and raises an information alert
Tier 0	non-money analysis

The highest tier wins; BLOCK beats every tier. Enforcement points inside services: `release_tranche`, `fund_escrow`, `propose_milestones`, `confirm_milestones`, `lock_fx`, `change_beneficiary`.

5. LLM explains, code executes

- Tool registry (`app/agent/registry.py`): each tool has a `max_tier`. `guard()` refuses any tool above `MAX_LLM_TOOL_TIER` (Tier 0, in `app/security/tiers.py`) before validation. The model is only offered allow-listed tools at or below the ceiling. Money tools (`propose_*`) are Tier 0 and only create a pending request.
- A model that names a tool such as `apply_financing` or `release_tranche` gets `unknown_tool` or `requires_approval_flow`.
- Executing an approved action happens in a human HTTP endpoint (`POST /approvals/{id}/approve`), whose body is `{otp?}` only. The service re-runs the risk engine on fresh facts and re-checks the binding hash, tier, parameters and cooling-off.
- The “Why:” line of an answer is taken from the tool’s explanation fields by code if the model omits it.
- Money is `Decimal` in Python and `NUMERIC` in the database. Floats are rejected at API boundaries.

6. Security design

Details and code references: `docs/submission/SECURITY_SELF_ASSESSMENT.md`.

6.1 Human approval

Lifecycle: `PENDING → APPROVED → EXECUTED`, or `REJECTED | CANCELLED | EXPIRED | LOCKED`. Only the deal’s buyer or an admin decides. Tier 2 is one tap. Tier 3 has a cooling-off pause (600 s by default; 30 s in demos), then a 6-digit OTP (HMAC-SHA256, 5-minute life, three wrong codes lock the request). The OTP is delivered to a simulated SMS panel that exists only when `DEMO_MODE=true` and `APP_ENV` is not `prod`. If the tier is higher at execution time the old request is cancelled and a stricter one is opened. Requests expire after 24 hours.

Beneficiary (payout account) changes are accepted only in-app through the supplier portal. An e-mail asking to pay another account is blocked, raises a fraud alert and writes a signed audit row.

6.2 Prompt-injection defence (SR-3)

Text from documents, e-mail, knowledge-base passages and tool results is data, never instructions.

Layer	What it does
1 Structural separation	Untrusted text is wrapped with a random boundary after masking; fixed rule in the system prompt.
2 Detection	Normalises (NFKC, look-alikes, zero-width, spaced letters, base64/URL decode), then English/Bangla/Chinese rules; score 0 to 100, flagged at 50 or more.
3 Capability control	Always on. A detection linked to a deal makes that deal’s next money action Tier 3.
4 Tool gating	Money tools need the right intent, the user’s own words, and no detection in the turn.
5 Output guard	Removes claims that a payment happened, system-prompt leaks and echoed instructions.
6 Switch	`INJECTION_DEFENCES=on|off` for layers 2, 4, 5 only (ignored when `APP_ENV=prod`).

6.3 Privacy Gateway (SR-4)

Detectors for NID, passport, phone (Bangladesh, China), account numbers, IBAN (mod-97 check), SWIFT, e-mail, known and labelled names, and amounts. Values become per-request reversible tokens such as ⟦ACCT_1⟧. The vault is in memory only and cannot be pickled. The gateway re-scans the outgoing payload and blocks the call if an identifier survives. Graph state and the checkpoint hold masked text; the runner restores values in the answer shown to the user. Because amounts are masked, the model cannot compare them; numbers come from tools.

6.4 Signed audit log (SR-5), scheme `setu-audit-v2`

```
payload_hash = sha256(canonical_json(body))     # body = seq, ts, actor_type, actor_id, deal_id,
action, tier, decision, payload
entry_hash   = sha256(prev_hash | payload_hash | seq | ts)
signature    = Ed25519(private_key, entry_hash bytes)         # genesis prev_hash = 64 zeros
```

A transaction-scoped advisory lock gives a strict sequence. Payloads are PII-redacted before signing (amounts kept). With no signing key, no row is written. A trigger blocks UPDATE and DELETE. Verification needs only the public key (`docs/submission/audit-public-key.pem`): CLI `pnpm audit:verify`, browser `/verify` (Web Crypto, no upload), API `GET /api/audit/verify`. A tamper demo edits an in-memory copy and shows the chain failing.

6.5 Other controls

Secrets only in environment variables (never logged or sent to the model). The demo session is an HMAC-signed cookie; in production the app refuses to start without a 32+ character secret, a secure cookie and a non-wildcard origin list. Judges get isolated sandboxes (one Postgres schema each, 4-hour TTL, rate limits, live-AI budget).

7. Knowledge base and citations

Seven sources written by the team (about 3,900 words plus a generated financing catalogue), 59 chunks. Local multilingual embeddings (`sentence-transformers/paraphrase-multilingual-MiniLM-L12-v2`, 384 dimensions, via fastembed). Retrieval merges vector top-20 and full-text top-20 with reciprocal rank fusion (k = 60) and returns 4 passages. Every passage passes the injection detector; flagged passages are withheld. Answers cite `[S1]`. Bangladesh Bank figures are simplified summaries and not independently verified.

8. Evaluation method and honest limits

Data. A synthetic generator (`services/agent/synthetic/`, seed 42) makes 100 clean and 100 tampered trade-document packs (10 fraud types, obvious and subtle), split 100 dev / 100 test, stratified. A 25-item injection attack set (5 styles × 5 variants) is split 13 dev / 12 test. Tuning used the **dev split only**. **The test split has not been run**; it is planned for phase P24 and will be reported once per configuration.

Dev-split results (synthetic):

Metric	Result
Forensics: precision and recall, 11 checks, 10 fraud types	1.00 on each (WARN or FAIL counted as flagged)

Metric	Result
Forensics: clean packs flagged	0/50; clean documents not PASSED 0/400
Forensics: NAME_MATCH recall counting FAIL only	0.57 (subtle name variants are WARN by design)
Registry catch rate	exact 3/3, near-duplicate 2/2, total 5/5
Injection attack success, defences OFF → ON (13 attacks)	100% → 0%; detection recall 100%; false positives 0/300; money moved 0
Privacy: detectable identifiers in payload, masking ON	0 (OFF: 2,490 detectable; 600/600 ground-truth leaked); 1/600 ground-truth leaked with masking ON

Limits.

- The data is synthetic. Perfect dev scores are a ceiling, not real-world accuracy. The generator and the checks were built by the same team.
- The injection harness drives the real graph nodes with an “obedient” mock model that ignores delimiters, so it does not show that layer 1 holds against a real model.
- Real-model quality was checked by hand on 12 English/Bangla questions through OpenRouter, not at scale.
- Photo-versus-spec checking is colour only; width needs OCR or a vision model (off).
- Not yet measured: auto-versus-escalated action ratio, fraud results on the test split.
- `make eval` is a notice only; evaluation runs through the per-area commands listed in the README.

9. Deployment

- **Local:** Docker for PostgreSQL + pgvector; `pnpm run dev` runs the API (:8000) and web (:3000). A `full` Docker Compose profile is planned in P23 Part B (`docker compose --env-file docker-compose.env.example --profile full up --build`).
- **Hosted:** `vercel.json` defines two Vercel services (`apps/web`, `services/agent`) with `/api/*` routed to the agent; database on PostgreSQL with pgvector (Neon planned). Steps: `docs/deploy-prod.md` (P23 Part B).
- **Required production settings:** `APP_ENV`, `DEMO_SESSION_SECRET` (32+ chars), secure cookie, `ALLOWED_ORIGINS`, `DATABASE_URL`, `AUDIT_SIGNING_KEY` (matching the committed public key), model key (`ANTHROPIC_API_KEY` or `OPENROUTER_API_KEY`). With no key the app runs in offline mock mode.
- **Judge deployment note:** `APP_ENV=prod` requires `DEMO_MODE=false`, which switches off the simulated SMS panel and the scam simulator that the guided demo uses. A judge-facing deployment therefore runs with `APP_ENV=dev` or `test` and `DEMO_MODE=true`. [TO FILL: confirm what the production deployment actually uses.]
- **Live URL:** [TO FILL]. **Status page:** [TO FILL].

10. Limitations and future work

See the known-risk list in `docs/submission/SECURITY_SELF_ASSESSMENT.md`. Main items: no real authentication or SMS provider; HS-code duty table not built; financing repayments and loan-repayment flow for the registry not built; no on-chain registry anchor; Bangla and Chinese text not reviewed by native speakers; `/app` mobile Lighthouse performance about 77; test-split metrics pending (P24).

11. Third-party components

See the README section “Third-party licences”. Fonts: Inter and Noto (SIL OFL 1.1). Icons are self-made. The embedding model is `sentence-transformers/paraphrase-multilingual-MiniLM-L12-v2`.